

Industry ↴

924 Entertainment—Casinos

924 Entertainment—Casinos

10 Overall

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

924-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	924-10-05-1	Amended	Accounting Standards Update No. 2016-20	12/21/2016
	924-10-05-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 924-10-05-1** The Entertainment—Casinos Topic includes the following Subtopics:
- a. Overall
 - b. Segment Reporting
 - c. Liabilities

- d. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
- e. Other Expenses
- f. Income Taxes
- g. Derivatives and Hedging.

924-10-05-2 The Entertainment—Casinos Topic presents the accounting and reporting standards that are unique to entities in the gaming industry. Specific guidance is provided on accounting for all of the following:

- a. Gaming [chips](#)
- b. Promotional allowances
- c. [Base jackpots](#)
- d. [Slot machines](#)
- e. Income taxes.

Guidance also is provided for the disclosure of geographic segments, if any. General background information about the gaming industry follows.

924-10-05-3 Most states now have at least one form of legalized gambling. These include on-track and off-track betting on horse racing, on-track betting on dog racing, state lotteries, and jai alai. Casino gambling is legal in many areas of the world. Some of the casinos in other parts of the world are owned by publicly held entities based in the United States. In addition, legalized gaming throughout the United States has taken on the additional forms of Riverboat Gaming and Native American Gaming. With the expanded use of the internet for conducting business transactions, internet gaming entities have been formed in various parts of the world to provide online gaming and sports betting over the internet.

924-10-05-4 With the proliferation of gaming throughout the United States and the world, gaming facilities, in certain instances, have become large-scale destination resorts. Entities have invested significant amounts of capital in the physical plants of these facilities and derive a large portion of their revenues from ancillary sources including hotel, food and beverage, and retail operations.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

924-10-15-1 The Subtopics within the Entertainment—Casinos Topic only provide incremental industry-specific guidance for entities operating as casinos. Entities within the scope of this Topic shall also comply with the applicable guidance not included in this Topic.

> Entities

924-10-15-2 The Entertainment—Casinos Topic provides guidance for all entities that operate as casinos and for the casino operations of other entities.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Base Jackpot

The fixed, minimum amount of a slot machine payout for a specific combination.

Chips

Money substitutes, in various denominations, issued by a gaming entity and used for wagering.

Slot Machine

A type of mechanical or electrical apparatus used in connection with gaming.

S45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Income Statement Presentation of Expenses

924-10-S45-1 See paragraph [924-10-S99-1](#), SAB Topic 11.L, for SEC Staff views on the income statement presentation of expenses attributable to casino-hotel activities.

S99 SEC Materials

i General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Staff Guidance

· > Staff Accounting Bulletins

· · > SAB Topic 11.L, Income Statement Presentation of Casino-Hotels

924-10-S99-1 The following is the text of SAB Topic 11.L, Income Statement Presentation Of Casino-Hotels.

Facts: Registrants having casino-hotel operations present separately within the income statement amounts of revenue attributable to casino, hotel and restaurant operations, respectively.

Question: What is the appropriate income statement presentation of expenses attributable to casino-hotel activities?

Interpretive Response: The staff believes that the expenses attributable to each of the separate revenue producing activities of casino, hotel and restaurant operations should be separately presented on the face of the income statement. Such a presentation is consistent with the general reporting format for income statement presentation under Regulation S-X (Rules 5-03.1 and 5-03.2) which requires presentation of amounts of revenues and related costs and expenses applicable to major revenue providing activities. This detailed presentation affords an analysis of the relative contribution to operating profits of each of the revenue producing activities of a typical casino-hotel operation.

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280 Segment Reporting

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

924-280-05-1 This Subtopic addresses the segment disclosure requirements for casino entities operating in multiple legal jurisdictions that have geographic segments.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

924-280-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [924-10-15](#).

50 Disclosure

i General Note:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Geographic Segments

924-280-50-1 Operations of a nonpublic business entity with a casino property that also includes a hotel, restaurant, parking garage, and the like are generally considered as one industry segment. The operating revenues of each are generally separately determinable. However, because of the natural interdependence of such operations, an allocation of costs among them to determine relative contributions to income (operating profit) would be largely arbitrary and, therefore, not meaningful. However, nonpublic casino business entities operating in various legal jurisdictions may have geographic segments and shall therefore report such information.

924 Entertainment—Casinos

405 Liabilities

00 Status

i General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

924-405-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
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Base Jackpot	Added	Accounting Standards Update No. 2014-09	05/28/2014
Slot Machine	Added	Accounting Standards Update No. 2014-09	05/28/2014
924-405-05-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
924-405-25-2	Added	Accounting Standards Update No. 2014-09	05/28/2014
924-405-55-1	Added	Accounting Standards Update No. 2014-09	05/28/2014
924-405-55-2	Added	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 924-405-05-1** This Subtopic addresses the following:
- a. The accounting for gaming chips held in inventory by casino entities and for gaming chips distributed to casino customers.
 - b. The accounting for jackpot liabilities.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure

requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

924-405-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [924-10-15](#).

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Base Jackpot

The fixed, minimum amount of a slot machine payout for a specific combination.

Chips

Money substitutes, in various denominations, issued by a gaming entity and used for wagering.

Slot Machine

A type of mechanical or electrical apparatus used in connection with gaming.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

> Gaming Chips

924-405-25-1 Gaming [chips](#) are accounted for from the time the casino receives them even though the casino may not issue them immediately, but, instead, hold them in reserve. When a customer exchanges cash for gaming chips, the casino has a liability as long as those chips are not redeemed or won by the house. That liability is established by determining the difference between the total chips placed in service and the actual inventory of chips in custody or under the control of the casino.

> Jackpot Liabilities

924-405-25-2 An entity shall accrue a liability at the time the entity has the obligation to pay the jackpot (or a portion thereof as applicable), regardless of the manner of payment. See paragraphs [924-405-55-1 through 55-2](#) for implementation guidance.

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Unredeemable Gaming Chips

924-405-35-1 The chip liability shall be adjusted periodically to reflect an estimate of [chips](#) that will never be redeemed (for example, chips that have been lost, taken as souvenirs, and so on).

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Implementation Guidance

924-405-55-1 The implementation guidance in this paragraph and the following paragraph addresses the application of paragraph [924-405-25-2](#). Some [slot machines](#) or other games may contain [base jackpots](#). Depending on the applicable gaming regulations, an entity may be able to avoid the payment of a base jackpot, for example, by removing the machine from play. In accordance with the guidance in paragraph [924-405-25-2](#), no liability associated with the base jackpot is recognized in such cases until the entity has the obligation to pay the base jackpot. That is the case even if the entity has no intention of removing the machine from play and expects the base jackpot to ultimately be won.

924-405-55-2 This implementation guidance addresses the application of paragraph [924-405-25-2](#). Some slot machines or other gaming machines include progressive jackpots. Entities in many gaming jurisdictions cannot avoid payment of the portion of the progressive jackpot that is incremental to the

base jackpot because the gaming regulators consider the incremental portion of the jackpot to be funded by customers and required to be paid out (whether as a jackpot or through other means, such as a raffle). Paragraph [924-405-25-2](#) requires that, in such cases, the incremental portion of the jackpot be accrued as a liability at the time of funding (play) by its customers.

924 Entertainment—Casinos

605 Revenue Recognition

00 Status

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General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

924-605-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Base Jackpot	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	Slot Machine	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	Win	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	924-605-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	924-605-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	924-605-25-1 through 25-3	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	924-605-25-2	Amended	Accounting Standards Update No. 2010-16	04/26/2010
	924-605-45-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	924-605-45-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	924-605-55-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

924-605-55-1	Added	Accounting Standards Update No. 2010-16	04/26/2010
924-605-55-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
924-605-55-2	Added	Accounting Standards Update No. 2010-16	04/26/2010
924-605-65-1	Added	Accounting Standards Update No. 2010-16	04/26/2010

05 Overview and Background

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General

924-605-05-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

- i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

924-605-15-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

- i Editor's Note:** All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

924-605-25-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

924-605-25-2 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

924-605-25-3 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

924-605-45-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

924-605-45-2 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

924-605-50-1 [Paragraph not used.](#)

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

924-605-55-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

924-605-55-2 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

65 Transition and Open Effective Date Information

General Note: The Transition Section contains a description of the required transition provisions and a list of the related paragraphs that have been modified. This Section will retain the transition content during the transition period. After the transition period, the transition content will be removed yet will be available in archived versions of the Section.

General

924-605-65-1 Paragraph superseded on 06/18/2012 after the end of the transition period stated in Accounting Standards Update No. 2010-16, *Entertainment—Casinos (Topic 924): Accruals for Casino Jackpot Liabilities*.

924 Entertainment—Casinos

720 Other Expenses

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

924-720-05-1 This Subtopic addresses the accounting and reporting for the cost of promotional allowances provided by a casino entity to a customer.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

924-720-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [924-10-15](#).

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Promotional Allowances

924-720-25-1 The cost of providing promotional allowances shall be included in costs and expenses.

924 Entertainment—Casinos

740 Income Taxes

00 Status

- i General Note:** The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

924-740-00-1 No updates have been made to this subtopic.

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

924-740-05-1 This Subtopic provides guidance to entities operating as casinos on the accounting and reporting of deferred income taxes when book financial reporting differs from income tax reporting.

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

924-740-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [924-10-15](#).

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Deferred Income Taxes

924-740-25-1 Financial statement reporting for casinos differs from income tax reporting, resulting in deferred income taxes when any of the following conditions are met:

- a. Recognition of casino receivables is used for financial statements and the when-collected method is used for income tax reporting.
- b. Costs are deferred for financial statements and are charged to expense for income tax reporting.
- c. Progressive slot jackpots are accrued based on meter readings for financial statements and are charged against revenue when paid for income tax reporting.

924 Entertainment—Casinos 815 Derivatives and Hedging

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

924-815-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
924-815-05-1	Added	Accounting Standards Update No. 2016-20	12/21/2016
924-815-15-1	Added	Accounting Standards Update No. 2016-20	12/21/2016
924-815-25-1	Added	Accounting Standards Update No. 2016-20	12/21/2016

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

924-815-05-1 This Subtopic includes the accounting and reporting standards for entities operating as casinos and for the casino operations of other entities, for derivative instruments, including certain derivative instruments embedded in other contracts, and hedging activities.

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

924-815-15-1 The scope of this Subtopic is the same as Scope and Scope Exceptions as outlined in the Overall Subtopic (see Section [924-10-15](#)).

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

924-815-25-1 Wagering contracts placed by bettors for which the odds of winning at the time the bets are placed with a casino are known or knowable (for example, certain sports and race wagers) are fixed-odds wagering contracts. The issuer of those contracts shall not account for such contracts under the guidance in Topic [815](#) on derivatives and hedging. Rather, those contracts are revenue transactions for a casino and shall be recognized in accordance with Topic [606](#) on revenue from contracts with customers.